OUTSOURCING STRATEGIES

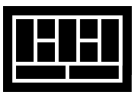


THE BUSINESS
MODEL ANALYST

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

SUPER GUIDE:
OUTSOURCING STRATEGIES

BY DANIEL PEREIRA



THE BUSINESS
MODEL ANALYST

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

© THE BUSINESS MODEL ANALYST

The Business Model Analyst is a website dedicated to analyzing business model types, patterns, and innovations using the business model canvas as its primary tool. The site offers a wide variety of free and premium content, including digital products such as PDF tools, presentations, spreadsheets, ebooks & guides, and much more. **Check it out here.**

Daniel Pereira
The Business Model Analyst Ottawa, ON, Canada
businessmodelanalyst.com

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

Copyright © 2022 Daniel Pereira

All rights reserved.

ISBN: 978-1-998892-29-7

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

TABLE OF CONTENTS

Introduction 9
What Is Outsourcing? 10
A Brief History Of Outsourcing 15
What Should You Outsource? 19
Types Of Outsourcing 24
Types Of Outsourcing Strategies 24
Onshore Outsourcing 24
Offshore Outsourcing 26
Nearshore Outsourcing 27
Different Types Of Outsourcing Services 28
Engineering Process Outsourcing (Epo) 28
Commonly Outsourced Engineering Services 29
Product Development And Design 29
Cad And Drafting 29
Simulation And Analysis 30
Reverse Engineering 30
Technical Documentation 31
Engineering Consulting 31
Information Technology Outsourcing (Ito) 31
Why You Should Outsource Your Engineering Services 33
Knowledge Process Outsourcing (Kpo) 34
What Knowledge-Related Processes Are Outsourced? 35
Business Operations And Management Kpo 35
Legal Kpo 35
Finance Kpo 36

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

Marketing Kpo 36
Product Design And Engineering Kpo 36
Knowledge Process Outsourcing Vs. Business Process Outsourcing 36
Overall Purpose For Implementation 37
Scope Of Tasks 37
Level Of Autonomy 37
Relationship Management 38
When Do You Need Kpo? 38
What Types Of Businesses Use Knowledge Process Outsourcing? 39
Advantages Of Knowledge Process Outsourcing 39
Optimize And Evolve Critical Processes 39
Plug Your Organization’s Knowledge And Skill Gaps 40
Stay Flexible And Agile 40
Increased Productivity Throughout The Company 40
Risks Of Knowledge Process Outsourcing 40
A Lack Of Operational Control 41
Data Security Issues 41
Communication Barriers And Silos 41
Employee Morale And Consumer Perception 42
Best Practices For Implementing Knowledge Process Outsourcing 42
Define Your Rationale For Outsourcing 43
Prioritize Domains And Tasks To Outsource 43
Identify Kpo Candidates 44
Set Terms And Manage Kpo Relationships 44
Legal Process Outsourcing (Lpo) 45
Which Situations Are Most Relevant For Lpo? 45

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

You Need Extra Support During A Busy Period 45
You Need Specialist Expertise 46
You're Expanding Into New Markets 46
Benefits Of Lpo 47
Cost Savings 47
Increased Efficiency 47
Improved Quality 47
Challenges Of Lpo 47
Recruitment Process Outsourcing (Rpo) 48
Why Consider Rpo? 48
Is Rpo Right For Your Organization? 51
How Is Rpo Different From Other Outsourced Recruiting Options? 52
Analysis And Planning 52
Extensive Job Marketing 53
Sourcing And Engaging Talent 53
Candidate Assessments 53
Candidate Care 53
Three Basic Types Of Rpo Engagements 54
On-Demand Rpo 54
Function-Based Rpo 54
Full Rpo 54
How Much Does Rpo Cost: Models And Comparisons 54
Management Fee Model (Typically Monthly) 54
Cost Per Hire Model 55
Management Fee Plus Cost Per Hire 55
Cost Per Slate 55
Cost Per Transaction 55
Human Resource Outsourcing (Rho) 55
Conclusion **57**

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

References 58
About The Author 62

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

INTRODUCTION

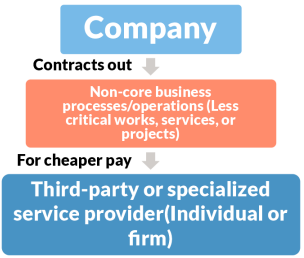
Businesses come in a wide range of forms and sizes, ranging from multimillion-dollar companies to small and medium enterprises, yet they have a surprising number of similarities. One of these similarities is their tendency to outsource several aspects of their business operations for the sake of convenience, to take advantage of the greater expertise of another business in that field, or simply so that they can focus on what their business can do best.

Despite how deceptively simple the concept sounds, it is important that businesses truly understand how it works and how best this process can be utilized to boost productivity, prevent waste and drive growth.

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

WHAT IS OUTSOURCING?

WHAT IS OUTSOURCING?



Outsourcing is a common business strategy that involves hiring a third-party resource outside a business organization to perform services or create goods that would normally have been performed by the organization itself or were previously carried out within the organization. Within the business world, this process is also referred to as contracting out.

Outsourcing as an integral part of modern business practice came into prominence during the 1990s as a shift towards free market economics and the rapid upscaling of the global supply chain increased interconnectivity between businesses and encouraged organizations to focus their resources in areas in which they had some degree of comparative advantage over other competitors. The success of the system led to widespread adoption of the method and increased complexity.

Initially, outsourcing was more commonly associated with the

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

manufacturing industry. However, with the development of various business models of increasing complexity and widening scope, the business practice has found its way into other industries as well, such as service. Outsourcing can come in many different forms. This can range from large-scale partnerships between international corporations such as Apple and IBM, or smaller business relationships that involve simple tasks such as printing fliers or outsourcing administrative duties.

Business functions or processes that are commonly outsourced include:

- Facilities management;
- Supply chain management;
- Research;
- Content writing;
- Engineering;
- Diagnostic services;
- Janitorial services;
- Website design;
- IT services;
- Human resource management;
- Customer support services;
- Accounting services;
- Legal documentation.

However, to comprehend why outsourcing is so common within the business world and why it is so important to a large

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

number of corporations, it is vital that we have a clear understanding of why businesses outsource.

- **It functions as a cost-saving measure**. Outsourcing allows businesses to save operating costs, overhead costs, personnel costs, and so on. This is due to several key advantages of this process. For example, many of the external resources used for outsourcing such as third-party organizations have a comparative price advantage due to their specialization in key services or the production of certain goods.

  Therefore, by handing over these areas of the business operations to these external resources, a business can actually save a significant amount of cost. Also, a significant number of outsourcing is carried out by developing economies, which typically offer a more attractive wage structure than labor sources from developed economies;

- **It increases efficiency and productivity**. As mentioned in the last point, one of the reasons an external resource used for outsourcing may be able to offer lower prices is due to a high degree of specialization in certain business processes. A business can take advantage of this expertise to offer a level of efficiency which they would not have been able to attain if the activity was carried out in-house. This helps boost overall productivity and ensures that consumers are able to enjoy better products and services;

- **Outsourcing allows a business to free up internal resources**. By shifting certain responsibilities to another business that is able to carry out these activities more effectively and cheaply, you can free up a significant amount of internal resources. These resources could be more manpower, increased finances, or the freedom to focus on parts of the

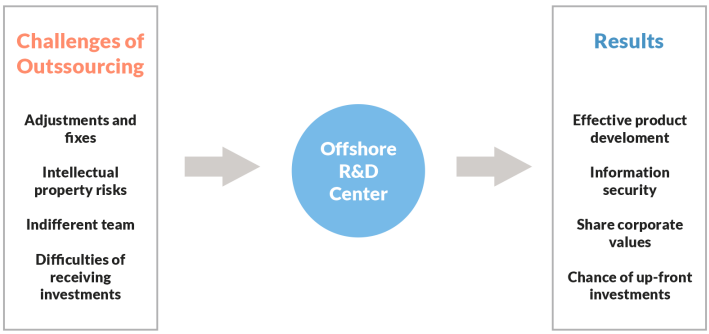
This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

production process in which you possess some form of comparative advantage;

- **Some forms of outsourcing allow a business to mitigate risk**. Some businesses also use the important partnerships built through outsourcing to spread out the business risk and reduce their overall exposure to a certain degree of unpredictability within the business venture;

- **Outsourcing improves flexibility within the business**. Outsourcing your services to a third-party vendor allows you to take advantage of their expertise to upscale or adjust your business operations accordingly. Outsourcing services also allow a business to capitalize on its resources for services that are only required periodically.

  Also, if significant changes have to be made to the business process within a relatively short period of time, the business can simply seek a new partnership that can offer this instead of going through the often complicated, lengthy, and expensive process of changing internal business operations.



This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

Despite all the advantages of outsourcing, there are some risks associated with the practice as well. These include:

- **Reduced confidentiality and information control**. Outsourcing opens a business up to the risk of revealing potentially sensitive customer information through data leaks or even important intellectual property such as company secrets. Therefore, businesses have to factor in the risk of such sensitive data leaks as well;

- **Loss of management control**. With increased outsourcing comes a reduced control over the production process which can lead to a variety of issues including poor quality control, increased costs, reduced productivity, and even financial mismanagement;

- **It may actually lead to higher costs**. Third-party vendors are driven primarily by the need to make a profit, and therefore may include hidden costs or unnecessarily long contractual agreements in a bid to increase their revenue, which would translate to higher costs;

- **Outsourcing leads to increased logistical and communication complexity**. Adding a third-party vendor to the business process comes with a whole host of new logistics and communication challenges. This complexity leads to more potential failure points within the business structure;

- **It may lead to internal friction between workers**. It is important to carefully outline your rationale for outsourcing to your full-time staff, so I avoid them receiving the impression that they're being replaced or that they are being perceived as incompetent.

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

A BRIEF HISTORY OF OUTSOURCING

Though strategic outsourcing has become an improvement part of most business entities, it is a relatively young business strategy. It is believed that the first attempt at outsourcing among a major company occurred in the 1920s, during the battle for market share between the two American automobile giants of the time — Ford Motor Company and General Motors.

In the early 1920s, General Motors sought to improve its share of the U.S. automobile market (accounting for roughly only 12% of U.S. automobiles at the time) against its primary competitor, the Ford Motor Company (which accounted for 56% of U.S. automobiles). To achieve this, they introduced several new policies and marketing campaigns aimed at boosting consumer interest in their vehicles.

They also hired a new President and Chief Executive, Alfred Sloan, who had several ideas of his own. Looking past the marketing side of the business, Sloan looked for ways they could outcompete Ford on the production line. He came up with the brilliant idea to divide the business operations into core functions and additional functions, discovering that they could actually cut costs by outsourcing several of these secondary functions to third-party vendors. Barely twenty years later, the market share of General Motors has grown to 41%.

However, according to most historical sources, the first time

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

that strategic outsourcing was recognized as a distinct business strategy was in 1989 when Eastman Kodak decided to outsource its IT systems. This allowed them to focus on their core activities and invest greater resources into areas of the business process where they had a great degree of expertise and strong comparative advantage. This strategy was then picked up by a wide range of business organizations (and even entire countries) as more businesses focused on their core functions and contracted out secondary, non-profit parts of the business process.

Both of these historical examples highlighted some very important features of early outsourcing. First of all, the predominant form of outsourcing back then was business-process outsourcing (BPO). Business process outsourcing is a business practice that involves contracting out essential parts of the business operations to third-party vendors.

However, it is important to note that though these tasks or services are typically an essential part of the business process, they are usually not a core part of the primary value proposition of the company. This allowed business organizations to outsource while still maintaining some degree of autonomy and quality control over their core functions and products.

Another thing that is worthy of recognition is that outsourcing had two primary functions early on - allowing a company to cut costs and freeing up more internal resources to invest in their core functions. This means that outsourcing in the early days was majorly profit-driven, with little consideration for taking advantage of the expertise of these external vendors to increase product quality.

Lastly, early attempts at outsourcing were commonly seen within the manufacturing and assembly industry. This could

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

have been for several reasons. Firstly, the concept of outsourcing fits nicely with such business models and is quite easy for manufacturers to adapt to. Secondly, the service industry was still developing at the time and had not achieved its current level of complexity.

In more recent times, outsourcing as a business strategy has gone through significant shifts in complexity, scope, and size. In the U.S. alone, over 300,000 jobs are outsourced every year. Currently, the three most outsourced functions are accounting, IT functions, and digital marketing. For example, up to 64% of companies outsource their software development functions, including a large number of medium and large enterprises.

There were several reasons for the growth of outsourcing such as the increased complexity of business processes, greater supply chain integration, increased expertise, and with it the rise of several highly specialized fields such as software engineering, big data analysis, machine learning, and so on. Also, the rise of the gig economy has encouraged companies to hire temporary staff to carry out specific, non-essential tasks as this is more favorable to them cost-wise.

Current outsourcing models are not wholly centered around cost savings, though this still plays a significant role. Many companies now use outsourcing as a tool to increase the quality of goods and services they provide as well. This is ultimately passed on to consumers in the form of innovation and better products.

Also, note that outsourcing is not a feature unique to large businesses. In a survey carried out in 2018, up to 37% of small businesses outsourced some part of their business process, and up to 52% planned to outsource the next year. The reduced rate of outsourcing among smaller businesses may

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

be due to smaller business processes that may not typically require specialized services and the fact that utilizing these services may not always be cost-effective on a smaller scale.

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

WHAT SHOULD YOU OUTSOURCE?

Strategic outsourcing can seem deceptively simple at times. However, there are several very important questions that should be considered before making the decision to outsource some part of their business process. The very first of these questions is **what should you outsource**?

Technically speaking, a business could outsource virtually every component of the business process and simply place its brand name on the product (which some companies do). However, most businesses find that optimal profitability is often achieved when the perfect balance is struck between which tasks to contract out and which tasks should be handled in-house. Determining these tasks requires a certain amount of logic and analytical skills.

There are several ways to achieve this, but an easy exercise is to ask yourself a set of key questions which will eventually help you determine the parts of the business process which can be outsourced. These include:

- **Are these tasks essential or non-essential?** Most businesses avoid outsourcing essential aspects of the business process for obvious reasons such as quality control and confidentiality. However, this does not mean that essential business functions can not be contracted out, but rather that more stringent oversight measures are taken in these cases.

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

- **What is the best use of your time?** Obviously, this question means different things to businesses within different industries, as well as large-scale and small-scale companies. For example, this could be determined in terms of business functions that directly generate revenue or generate the most revenue for the company.

  To do this, the business will need to carry out a cost/time analysis of various essential and non-essential activities within the business. This helps you more accurately determine the areas which generate the most revenue per unit time (such as man-hours) invested.

  This question could also mean considering tasks where the business has a strong comparative advantage over other competitors in the market in terms of expertise, cost-effectiveness, speed, or brand recognition. This is very important as one of the primary drivers behind outsourcing is to allow companies to free up more internal resources which could be focused on enhancing the efficiency of their core functions.

- **Are these tasks directly revenue- and efficiency-generating processes within the business organization?** Many non-essential (and quite a few essential) tasks within a business do not directly contribute to increased revenues and greater operational efficiency. These tasks can more easily be outsourced without a significant disruption in the business process.

- **What tasks are you not good at, but are forced to carry out due to various constraints?** Sometimes there are obvious sections of the business process

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

that a company is poorly suited for but may be forced to handle in-house due to various constraints. These constraints include factors such as finances, time, or even lack of oversight skills to effectively manage the additional logistics associated with outsourcing.

- **Why are you outsourcing?** There are many reasons why a company may decide to outsource besides common factors like cost-effectiveness. They may be looking for a way to capitalize on the expertise of external vendors in various parts of the business process. It may also be due to the fact that the company wishes to downsize and is looking for non-essential sectors which could be cut off and replaced with third-party contractors instead.

  Also, a company may be interested in carrying out a particular function in-house, but does not currently have the expertise or capacity to do so. This means that they may temporarily outsource these services while developing their capacity to eventually handle this task in-house.

- **Can these tasks be outsourced effectively?** This could be considered in several ways. Firstly, not all tasks within the business process are well-suited for outsourcing and must therefore be carried out in-house, despite higher costs or reduced efficiency. Also, whether the company has the ability to handle the additional logistics associated with outsourcing can also be considered here as well.

- **Which parts of your business process are permanent or temporary?** Generally speaking, it is much easier and logical to outsource tasks or services within the business process which are only required periodically. This allows you to save the cost and managerial burden associated with hiring permanent employees

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

or supporting s permanent division for services that are not required routinely.

- **Can these tasks be clearly defined?** Before contracting out a service within the business structure, it is important that it is determined whether this task can be clearly defined and expressed to the external vendor. In some cases, this can be a complicated task that requires highlighting information such as the services required, timeframe, costs, quality control, communication channels and reporting, required resources, and expected outcome. If a step-by-step manual or instructions can be provided, this will also be helpful.

From the above questions, you will find that there are broadly two main classes of tasks that can be outsourced. They include:

- **Tasks that are essential to your business model, but not a core part of your value proposition**. These are typically essential tasks that are required by your business to produce and deliver your value proposition, but are not a core part of the value proposition itself.

  For example, an online e-commerce company may outsource product deliveries to a third-party delivery service rather than deliver the items themselves. While this is an essential part of the business model, it is not inherently a part of their core value proposition as most consumers will probably not pay mind to which service delivered the product but rather the service the product was purchased from.

- **Commodity tasks that are non-essential and most times are not a part of the value proposition**. This may include a wide range of tasks that are not directly

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

revenue-generating or efficiency-generating and can easily be sourced out, such as janitorial services, accounting, and financial services, IT services, certain areas of administrative operation, and so on. Many of these tasks do not require a high degree of specialization, they are required only periodically or temporarily, and they do not directly affect your value proposition.

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

TYPES OF OUTSOURCING

There are numerous ways of classifying outsourcing. However, it is commonly classified according to the strategy of outsourcing used and the particular service being outsourced.

TYPES OF OUTSOURCING STRATEGIES

If outsourcing is defined as a business practice that involves hiring a third-party resource outside a business organization to perform services or create goods that would normally have been performed by the organization itself or were previously carried out within the organization, then **outsourcing strategies are simply plans which explain how this process is to be carried out and have been built through careful analysis of the services that are required**.

Outsourcing strategies can broadly be classified into three distinct forms based on the proximity of the contractor to the business which requires their services. The different outsourcing strategies include — onshore, nearshore, and offshore outsourcing.

Onshore Outsourcing

Onshore outsourcing is a business practice that involves hiring the services of a third-party contractor who is within your country. This type of outsourcing is also known as local outsourcing or domestic outsourcing. For example,

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

outsourcing delivery services or IT services to a local company.

There are several advantages associated with local outsourcing, such as:

- There is improved communication between the business and the contractor, due to the fact that they likely share the same language, cultural background, and, in most cases, time zones. This can be important when considering things such as holidays, marketing campaigns, business etiquette, and so on;
- Due to the fact that both parties are within the same country, they can usually arrange physical meetings quickly and without too much difficulty;
- The contractor is usually aware of local business laws, procedures, and protocols, so the management team will not have to go through the lengthy and time-consuming process of explaining them to the contractors;
- It is much easier to monitor the quality of the services offered by these vendors as the company is nearby, and the logistics involved in maintaining this oversight are understandably cheaper;
- Another advantage of onshore outsourcing is that in the event of disagreements between both parties, legal recourse is usually easier since they are both subject to the same governing laws;
- Though it may not be considered a direct advantage to the business, domestic outsourcing is also beneficial to the local economy.

It's important to note that many of the challenges which you would naturally expect to encounter during offshore

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

outsourcing, like communication barriers, difficulty with managerial oversight, and poor quality control, can also be experienced during onshore outsourcing.

This is especially true if the physical distance between the two businesses is large. For example, two business partners located on opposite coasts of the continental USA would likely experience similar challenges due to this distance as a company in the UK and one in Germany.

Aside from this, there are also several disadvantages more inherently associated with local outsourcing as well. These include:

- By concentrating your outsourcing efforts within only a single country, you are effectively limiting the pool of expertise available to you. This is true even for countries which have a strong comparative advantage in a particular industry such as digital technology, automobile manufacturing or textile. There is always more knowledge to be gained by opening your options to international collaboration.

- You might also end up missing out on one of the most important benefits of outsourcing, which is lower costs. This is especially true for developed economies, whose wage structure typically does not favor the cost-savings which would have been achieved by outsourcing to developing economies that offer more competitive wage rates.

Offshore Outsourcing

Offshore outsourcing involves contracting out various tasks or parts of the business process to third-party vendors a significant distance away from your country. For example, a business partnership between a business firm in Brazil and an IT company in Italy.

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

This type of outsourcing is usually more popular among large-scale businesses who are aggressively seeking out comparative advantages in terms of cost, quality, or other benefits by recruiting the services of international companies.

It offers benefits such as access to a wider pool of talent, greater cost savings, and the ability to avoid certain local regulations. However, the dangers of such a system such as communication challenges, logistics, data security, and managerial oversight.

Nearshore Outsourcing

Nearshore outsourcing can be considered the middle point between onshore outsourcing and offshore outsourcing. In nearshore outsourcing, the third-party vendor is not located within the same country as the business, but is located in a country or region which is relatively nearby. For example, the United States and Canada or Eastern Europe and Asia.

The benefit of this type of outsourcing is that it allows a business to combine the various benefits from other types of outsourcing in order to achieve a more favorable model. However, this also means that it may be exposed to the various shortcomings of both models of outsourcing as well.

Let's take a look at some of the unique benefits of such a model.

- It offers a wider pool of talent and expertise than domestic outsourcing, while still allowing the company to maintain a greater degree of oversight;
- By outsourcing particular services outside of the country, a business may be able to take advantage of the favorable wage structure of that country when compared to the wages within their own country;

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

- It also allows them to avoid certain regulatory practices or laws within their country which may hinder their business profitability or growth, while still maintaining relatively close contact with the business process being outsourced.

The disadvantage of this method is a mixture of the shortcomings of both onshore and offshore outsourcing.

DIFFERENT TYPES OF OUTSOURCING SERVICES

Outsourcing services simply refers to various businesses processes or services which are commonly outsourced due to the fact that certain features within their business model inherently favor this type of business practice

Engineering Process Outsourcing (EPO)
As the name suggests, this form of outsourcing involves contracting out specific engineering functions to an outside party. This form of outsourcing is more prevalent among industries associated with manufacturing, such as electronics and automobile companies. These services could come from virtually any of the fields of engineering such as electrical, mechanical, industrial and software engineering.

This type of outsourcing is likely carried out because these contractors have a high degree of expertise and comparative advantage in these specific functions. This may allow them to offer higher quality services or even cheaper prices. Also, many times these contractors come from high-paying fields of employment, so it is more cost-effective to hire them on a short-term basis, especially if their services are only required periodically.

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

Commonly Outsourced Engineering Services

Even though virtually any area within the field of engineering can be effectively outsourced, there are some niches that have found a strong foothold within the world of outsourcing.

Product Development and Design

Research and Development (R&D) is the driving force behind the success of numerous companies in various areas of commerce. However, it is a cost-intensive process that requires a high degree of specialization and expertise. Therefore, many companies now employ the services of product development and design teams who are specialists in different fields to conduct R&D on their behalf.

There are several advantages to adopting such an approach. First of all, many times these specialists have unique market insights which allow them to create products that consumers will view more favorably. They are also able to conduct this process more quickly due to this specialization. Their services are not cheap, but a failed product could potentially cost the company much more, making them more than worth their cost.

CAD and Drafting

Computer-aided Design (CAD) is simply the use of software technology to increase the productivity and quality of a design (which may be a mechanical, industrial, or technical drawing) by optimizing the process. Drafting in the context of engineering refers to the process of creating a graphical representation or drawing of a technical design, which is meant to confer key information that will form the template or blueprint during its creation. These templates could be in 2D or 3D and are essential for any production process.

CAD and drafting require a certain degree of specialization that may not be available to most companies, and it's not worth keeping as permanent staff when their services may

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

only be required periodically. Also, these firms make use of unique tools which may be expensive to maintain and difficult for non-specialists to use.

Simulation and Analysis

Simulation and analysis is another area within the field of engineering which has seen significant use in terms of outsourcing. Following the drafting of an electronic blueprint or design templates using computer-aided design, it is necessary to analyze the interactions of these items during use. This can be done through the use of specialized software which allows the operator to accurately predict how these items will perform when used in a physical environment.

The field of simulation and analysis is still relatively young and high-entry. Therefore, the high degree of specialization and expertise required to carry out all these tasks make it much more favorable to hire the temporary services of already existing experts within the field. Also, due to the highly technical nature of this field, an organization would appreciate the freedom offered to them by offshore outsourcing to seek out the best possible options from a vast pool of alternatives

Reverse Engineering

With the rapid increase in competition between companies in terms of product development and innovation, it has become clear that R&D is becoming increasingly important in ensuring the continued survival of a business. However, not all businesses have the resources available to keep up with their much larger competitors. Therefore, they must seek new ways of rapidly upscaling their knowledge in order to effectively allow them to compete with companies who have achieved a significant advantage in this area.

This has promoted the growth of a field of engineering known

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

as reverse engineering, which simply involves the stepwise deconstruction of the finished product in order to obtain further information about its design and function. The process of reverse engineering is a specialized skill that can be considered a subset of computer-aided design and drafting and also makes use of simulation technology. Therefore, many companies now hire the services of such reverse engineering firms in order to quickly obtain information on what features their competitors have added to their products and use this information to further improve their own products or designs.

Technical Documentation

Technical documentation is a practice within the field of engineering which means an extensive description of the design, functionality, and performance of a product for various purposes. It is a skill that is necessary for product research and development, and businesses have realized the importance of hiring companies which have expertise in this area to document the performance of their new products, services, or systems.

Engineering Consulting

Engineering consulting is a field that involves the use of specialized firms which can offer significant oversight in terms of engineering processes within the business. These processes may be highly specialized, such as simulation and analysis, drafting, and low-volume prototyping. Or they could involve a wide range of services, therefore, dealing with the entire engineering process from top to bottom.

Information Technology Outsourcing (ITO)

Information technology can be defined as the use of various forms of technology for the storage, distribution, and reception of different forms of information (typically digital information). Therefore, information technology outsourcing can be considered the use of external services to provide

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

IT-based solutions and infrastructure in order to support or optimize various aspects of the business process.

Most people associate search technology with computers and other digital systems, but it has many other components as well. In recent years the field of information technology has grown significantly and a large number of businesses have incorporated it into their business model either as an essential or non-essential component.

With this growth has come to an entire industry borne out of the increased need for such services. Early on, information technology outsourcing was done mainly because the required expertise to support these systems was not widely available and easily accessible to most companies at the time. However, over time, it was noted that there is an advantage in cost, time, and efficiency when the services are outsourced instead of handled in-house by a department within the company. Due to this, information technology services are one of the most outsourced parts of the business process and are considered a significant success story for the benefits of outsourcing within different business areas.

Information technology services are also another area of high specialization which involves a wide array of interconnected distinct fields such as cloud computing, software-as-a-service, cybersecurity, data science, and computer networking.

There are some key advantages associated with IT outsourcing. They include:

- Allowing businesses to keep up with the most recent developments in the rapidly evolving field of information technology by employing the services of firms who are constantly involved in this field, instead of having to incur significant costs in terms of man-hours and finances in retraining or updating the

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

skills of their staff in the area of information technology;

- The use of Information technology increases the connectivity, data storage, and efficiency of the business process, leading to greater productivity and reduced costs;

- IT outsourcing can also offer safety in the areas of cybersecurity and data security due to its expertise in these fields;

- Outsourcing information technology services also offer greater skill ability in terms of staffing. This is because The services of IT experts are not required on a regular basis, making it much more effective to hire them temporarily to carry out a specific project.

This is not to say that there are no significant risks associated with the use of information technology outsourcing services. Many of these include the same risks that are associated with any form of outsourcing.

However, due to the fact that IT outsourcing services may handle delicate or confidential information concerning the business or its clients as well as work on core operations which may be existential for the proper functioning of the business, there are certain key security challenges and concerns associated with information technology outsourcing.

Why You Should Outsource Your Engineering Services
Here, there are a few important benefits of outsourcing your engineering services.

- They offer a significant reduction in overhead expenses and office equipment costs;

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

- More sophisticated forms of technology are available to the business, with access to a comprehensive array of complex engineering services;
- There is more time and resources to devote to internal growth;
- It allows the company to save office space;
- It promotes a faster turnaround time on key projects;
- Ability to use services on an as-needed basis;
- Access to service and support at all times.

Knowledge Process Outsourcing (KPO)
Knowledge process outsourcing (KPO) is a business practice that involves contracting out specific high-level, information-focused tasks within the business process to external resources which have the required degree of skill, expertise, and specialization in that particular field in order to gain a particular comparative advantage over competitors.

The defining feature which sets knowledge processing outsourcing apart from other forms of business outsourcing is that it mainly involves operations that require a high degree of expertise within a narrow subset. This may include a variety of services such as legal, medical, research and development, engineering, data analysis, and information technology services. Therefore, tasks that require significant labor or operational activities are not considered a part of knowledge process outsourcing.

Aside from the fact that virtually all these fields require a significant degree of specialized knowledge, they are also services that may not be needed by the business on a regular basis. Also, employees within these fields typically have a high-paying wage structure which makes it inconvenient to

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

support full-time departments, especially if their services are not essential to the core value proposition.

There are several important benefits of such a practice. Firstly, they allowed the business to leverage the expertise of the specialist within these fields without having to hire them on a permanent basis. This gives them access to a degree of specialization that they may not possess in-house. This promotes increased efficiency, cost savings, and productivity.

It's also worthy of note that even in businesses that possess this expertise, knowledge processing outsourcing allows organizations to rapidly scale up their operations in the event that they may require more staff due to increased demand or workload.

What Knowledge-Related Processes are Outsourced?

Let's take a deeper look at some important knowledge process outsourcing examples.

Business Operations and Management KPO

Business operations and management knowledge process outsourcing is a form of external allocation whereby a company hires specialists with significant knowledge in the analysis, design, and implementation of effective standard operating procedures and employment policies in order to drive growth, efficiency, and increase productivity. This may be done for businesses that are experiencing a significant drop in productivity or are interested in upscaling operations over a particular period of time.

Legal KPO

Most businesses require legal services at some point. However, it is not cost-effective to hire legal consultants on a permanent employment basis. Therefore, it is common practice within the business world to contract out these legal services to a specialist on a temporary basis. This helps

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

reduce risk, ensure that the business is always operating within legal boundaries, and save costs that may be lost due to potential litigation.

Finance KPO
Financial knowledge process outsourcing is a business practice that involves the allocation of investment decisions, accounting, monetary policy, and other financial activities within a business organization to a third-party vendor who has particular expertise within that niche. It allows a business to optimize profitability and maximize its returns.

Marketing KPO
Over the past several years, the areas of marketing and advertising have seen significant development, With businesses seeking out firms that can offer them a comparative advantage due to the specialization in the process of developing various marketing strategies which allow businesses to reach out to their ideal audience with the right message and optimize customer acquisition using available limited resources.

Product Design and Engineering KPO
This form of outsourcing involves contracting out specific engineering functions to an outside party. Product design outsourcing typically involves the various steps which are geared towards the drafting, creation, and testing of specific products by specialized firms. This involves several improving key features like function, durability, efficiency, and resource management.

Knowledge Process Outsourcing vs. Business Process Outsourcing

As mentioned previously, business process outsourcing (BPO) involves the allocation of specific business processes to external vendors. Knowledge process outsourcing (KPO) can be considered a subset of business process outsourcing,

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

which deals with the contracting out of specialized tasks to vendors with a high degree of expertise in relatively narrow niches. Therefore, even though there is significant overlap in these two areas, there are key differences between business process outsourcing and knowledge process outsourcing that must be addressed.

Overall Purpose for Implementation

To most external observers, the purpose of both business process outsourcing and knowledge process outsourcing seem quite similar. However, there is a subtle yet significant difference in their purpose for implementation. Business process outsourcing typically deals with “big picture” services geared toward more general objectives such as saving costs, improving efficiency, upscaling staff, and so on.

On the other hand, the services required during knowledge process outsourcing are typically more narrow and restricted to specific objectives such as new product launches, legal activities, marketing, and so on. Therefore, these are services that require a high degree of specialization and are geared towards providing an indispensable service to the business which they may not normally have access to in-house.

Scope of Tasks

In terms of scope, BPO mostly deals with routine tasks within the business such as administrative activities, customer service, janitorial services, and so on. The services required in knowledge process outsourcing are much less routine and usually affect the core functions of the business, making their scope much narrower but significantly more influential as well.

Level of Autonomy

In terms of autonomy, most of the services carried out within the area of business process outsourcing are mainly low-level, routine, and non-essential tasks which do not

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

require a high degree of autonomy and generally follow a rigid operating guideline.

KPO services on the other hand require a significantly higher level of autonomy due to the specialized nature of the tasks assigned to them. Therefore, the operational guidelines directing these services deal less with “how” they are expected to achieve their objective.

Relationship Management
Most BPO services do not require continuous oversight due to the fact that a clear operating guideline offers all the required information needed to carry out the required task, and there’s typically little cause for significant change in these guidelines over time. This means that frequent communication is typically not a necessary feature of such arrangements, unlike in KPO services where check-ins and feedback are carried out on a more regular basis, leading to a higher degree of involvement between both parties.

When Do You Need KPO?

We have established that KPO services are very important to various businesses. Therefore, it is also essential that we note the major scenarios where a business requires the services of search KPO firms. These scenarios can be broadly classified into three key situations, namely:

- When a business requires specific expertise in key areas within the business process which is not readily available in-house. Therefore, they must hire the services of firms that can offer them this in-depth knowledge on a temporary basis in order to accomplish a specific task;

- Another scenario is when significant upscaling of business operations in particular areas within the organization is required. In this situation, the business

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

may not lack the knowledge or expertise to carry out these tasks but may be understaffed, overburdened, or simply need to scale up its operations quickly over a short period of time. In such situations, KPO services may be required;

- The last scenario is when a business desires to carry out specific functions or build a specific department within the organization, but lacks the available resources to do this on a permanent basis. Therefore, as a short-term solution, they may hire the services of a KPO firm to provide these services until they are able to create permanent in-house departments to carry them out.

What types of businesses use knowledge process outsourcing?

Virtually any business can make use of knowledge process outsourcing services. However, they are more commonly seen in firms that require a high degree of specialized services. For instance, electronics, engineering, law, medicine, and so on. Also, it is more common to see KPO services being requested by larger enterprises due to the costly nature of their services.

Advantages of Knowledge Process Outsourcing

Let's outline some of the advantages that Kpop services offer to the businesses which employ their use

Optimize and Evolve Critical Processes

The primary role of KPO services is to carry out or optimize key activities or areas within a business organization that it does not possess the in-house capacity to perform. These are usually critical components of the business operation which have a significant impact on how an organization carries out its core functions, especially those which are closely aligned with its primary value proposition. Therefore, knowledge

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

process outsourcing leads to increased overall productivity by influencing key areas within the business.

Plug Your Organization's Knowledge and Skill Gaps
Another important function of KPO is to fill in the knowledge gaps within the business in order to increase productivity. This may be carried out through consultation services, hiring temporary staff, or training services. These services offer internal improvements within the business which allow them to gain a competitive advantage over other businesses in the field.

Stay Flexible and Agile
Knowledge process outsourcing gives organizations a level of flexibility that was previously unseen at such levels of expertise. Therefore, companies can now hire specialists to perform specific short-term objectives and offer essential services without having to worry about the significant costs involved in keeping such high-payer employees on the payroll permanently. When their services are no longer required they can be phased out easily with the business still enjoying the benefits they brought and still having the option of utilizing their services again if necessary.

Increased Productivity Throughout the Company
Even though knowledge process outsourcing is typically confined to specific niches, its benefits can be quite all-encompassing. For example, management KPO services can boost productivity in multiple departments within a company by streamlining business operations in a manner that promotes productivity. Also, many KPP services require a significant amount of cross-team collaboration with other departments within the business, leading to better integration and teamwork throughout the organization.

Risks of Knowledge Process Outsourcing

Despite all the amazing benefits associated with knowledge

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

process outsourcing, there are also some significant downsides to the practice. They include:

A Lack of Operational Control

Handing out key operations within your business to a third party is a danger in any situation. However, this danger is only increased when these functions are core, knowledge-based, system-critical activities that significantly affect the ability of your business to function.

The solution to this is to have strict guidelines directing and regulating the activities of these external contractors, as well as maintaining a strong communication system with frequent reports. This allows you to closely monitor their activities and take preemptive action if you suspect that these activities may jeopardize the success of the business. However, this may be more difficult than it sounds because the significant knowledge gap which typically exists within these services means that it may be difficult for a non-specialist to recognize such damaging activities until it's too late.

Data Security Issues

Data security breaches are risky even when such activities are carried out solely by in-house departments. Contracting out these services only increases the risk of such confidentiality breaches, especially when most of the external services provided by these contractors involve sensitive components of the business such as user data, intellectual property, and core operational processes.

Communication Barriers and Silos

KPO suffers from all the barriers which are common to virtually all forms of outsourcing (particularly offshore outsourcing) like language, time zone, and geographical and cultural differences. It also has another unique barrier that may significantly affect effective communication between external contractors and the business which hired them. We

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

are referring to the significant knowledge gaps which may exist between both parties.

This may be so severe that it renders any reports or decisions (and mistakes) made by the contractors virtually incomprehensible to the organization. That is why effective liaison services are important To ensure that the information being received by the organization is crafted in such a form that is understandable and actionable.

Employee Morale and Consumer Perception

It is also worthy of note to understand that contracting out certain services to external vendors may be perceived by employees of the company as a lack of faith in their abilities or a subtle attempt to replace them. This may lead to increased in-house friction, reduced productivity, and significant disruption to the business process. Therefore, as an employer, it is important to fully communicate with your in-house staff on the purpose of these external vendors as well as reinforce your commitment to their continued job security.

Another key issue is consumer perception of certain decisions which may be made by these KPO services. Many times these services are not as familiar with your primary audience as you are, which may lead to activities that may be at odds with your core brand image and which will resonate poorly with your customers.

Best Practices for Implementing Knowledge Process Outsourcing

With these challenges in mind, let's explore some key principles a business can implement in order to ensure that knowledge process outsourcing services are best utilized to gain the most from their strengths and minimize the risks associated with their use.

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

Define Your Rationale for Outsourcing

It is very important that a business organization clearly define its reasons for seeking the services of outside contractors, as well as the objectives they plan on attaining. This helps them build a framework that acts as a guide through out the process and enables them to a certain when the partnership seems to be failing its core objectives.

Some of the questions which must be brought up include:

- What are the areas you wish to improve through these external contractors?
- How is the business currently performing in these areas?
- How well do you want it to perform (i.e. your objectives)?
- What are the viable (and to a reasonable extent non-viable alternatives) including outsourcing?
- What makes outsourcing the best choice?
- Do you have the available capacity to manage outsourcing as a business practice?

These are just some of the basic questions any business should ask itself before implementing any form of outsourcing, especially knowledge process outsourcing.

Prioritize Domains and Tasks to Outsource

After identifying the key areas which you wish to improve upon and making this decision to outsource these business operations, it is necessary for you to outline the specific functions or steps involved in achieving these objectives. Prioritize these steps based on several criteria such as cost, importance to achieving the value proposition, the degree of deficiency, and the expected return on investment of each of

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

these areas.

This will allow you to identify key areas where you can start the process of outsourcing. This gradual and step-wise approach is also important because it is unwise to hand over the entire operation of a section of your business to an outside party without some degree of integration or strict oversight, even if it is just temporary.

Identify KPO Candidates

The next step is making your choice of KPO candidates to partner with. This involves several important steps, such as ensuring that the KPO businesses offer the specific subset of skills and services necessary to achieve the objectives you have previously outlined. This may be difficult, especially when this involves areas where you lack significant insight. Therefore, using reviews and testimonies from past clients, as well as hiring the services of expert consultants may be necessary. The KPO provider should also provide some verifiable historical data to support their claims.

The KPO provider must provide a viable and legal framework for how they plan to achieve these goals. This framework must also be in line with local legal policies as well as the company's policies and brand image. Once they have satisfied all these criteria, you can proceed to draw out a contractual agreement with the KPO provider which involves some of the key factors already mentioned as well as the costs of these services.

Set Terms and Manage KPO Relationships

The key conditions can be included in the contractual agreement drawn up between the business and the KPO provider. Aside from this, there are some great important terms and guidelines which should be clearly drafted out. This includes things like data security and risk management, communication and reporting, as well as the storage and

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

dissemination of information within the organization.

Legal Process Outsourcing (LPO)

Technically, legal process outsourcing is considered a type of knowledge process outsourcing. However, due to the scope, size and importance of this field, it is necessary to elaborate on its services more deeply.

Legal process outsourcing refers to the business practice of contracting out law-related services and processes to third-party providers for the purpose of achieving benefits like lower cost, supporting an increased workload, and navigating legal systems which the organization may be unfamiliar. Some of these services include document reviews, legal research, drafting contracts, patent applications, deposition summaries, and so on.

It was estimated that the market for legal process outsourcing was about $11.6 billion in 2021, with some sources estimating that it will exceed $60 billion by the year 2027. The reason for the existence and popularity of legal process outsourcing is somewhat obvious. Law is a deeply nuanced field with significant requirements for niche knowledge. Therefore, most organizations find that it is more cost-effective and less burdensome to hire LPO providers to take care of legal matters rather than supporting any dedicated legal departments or attempting to carry out these legal activities on their own.

Which Situations are Most Relevant for LPO?

Let’s take a look at some common scenarios where an LPO provider may be necessary.

You Need Extra Support During a Busy Period

LPO service providers are not only used by non-legal firms. Companies that are already associated with the legal industry and have the required expertise such as law firms may also

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

make use of the services in order to increase the number of workers or support they have during periods when their existing resources may be overburdened.

In this situation, the LPO providers are acting more like a form of ad-hoc staff who are providing support services rather than specialists providing legal expertise to non-specialists. This allows them to enjoy this increased support without having to pay the cost of hiring new staff, especially when these resources may only be required temporarily.

You Need Specialist Expertise

Another more common example of where LPO providers may be required is in a situation whereby a business that does not have a certain amount of legal expertise requires the services of a legal team to draft out contractual agreements, settling litigation, perform medico-legal reviews, and so on. In such a situation, an LPO service provider may be hired to carry out these activities.

You're Expanding Into New Markets

As mentioned earlier, one of the key challenges facing offshore and nearshore outsourcing is the fact that different regions have different legal and regulatory policies, which may significantly hinder business partnerships between a company and third-party vendors in different countries.

These legal differences may also hinder a company from successfully expanding into unfamiliar markets, which is why it is advisable for all businesses which seek to establish outposts in new markets to hire local legal teams which have extensive expertise in the local laws, procedures, and policies. This can go a long way of saving the company the potential costs which would've been incurred from numerous litigation which could have been avoided through simple legal review.

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

Benefits of LPO

Let's briefly glance at some of the benefits of employing LPO services.

Cost Savings

Due to the fact that they are hired on a short-term basis, LPO services are usually more cost-effective in the long run than hiring permanent legal departments, especially when the services are only required periodically. Another advantage is that LPO service providers in developing nations usually charge much less than their counterparts in more developed parts of the world, leading to a greater cost advantage. In some situations, this cost savings may even be as high as 60%.

Increased Efficiency

LPO services also offer increased efficiency due to the fact that they typically have a larger workforce than most in-house legal departments and also typically work longer hours. This means that they can carry out a significantly larger amount of tasks over a shorter period of time without compromising the quality of their work.

Improved Quality

The last benefit of LPO service providers is of course the increased experience they provide for business in terms of law-related services and other legal matters. This expertise is indispensable and allows a business to draw upon a wealth of up-to-date knowledge which may otherwise have been unavailable to them.

Challenges of LPO

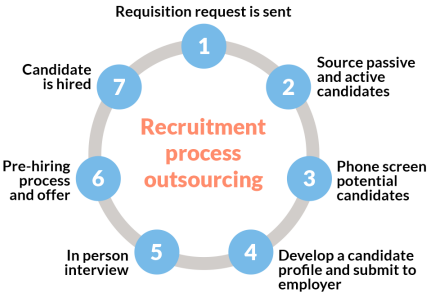
Despite all the advantages associated with LPO service providers, there are still some significant challenges as well. Some of these challenges are universal to all forms of outsourcing, such as language and cultural barriers, geographical and time zone differences, as well as issues with oversight, management, and logistics. However, there is

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

a unique challenge that is faced, primarily by legal process outsourcing.

This of course refers to the fact that most countries have significantly different legal practices. For example, a business in the United States contracting out legal services to an Indian law firm may encounter difficulties due to the vastly different local legal systems between both countries. Frequent and clear communication may help ameliorate this challenge to some extent, however, it still poses a significant hindrance to the widespread adoption of LPO services worldwide.

Recruitment Process Outsourcing (RPO)



Recruitment process outsourcing is a form of business process allocation which involves a company contracting out its employee recruitment process with a third-party service provider. This includes handing over all or part of its recruitment design, analysis, and implementation process to an external contractor.

Why Consider RPO?

The need for a more effective and data-driven recruitment process came about from increased competition between

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

different businesses for top talent. Therefore, they realized that in order to discover and attract the very best human resources, they will require more advanced talent acquisition processes.

These practices included current data-driven industry methods which are proficient at extracting core competency traits from potential candidates using well-designed systems of analytical algorithms, as well as offering businesses a hiring system that was rapidly scalable to cater to the hiring demands of the particular company at the time.

Through this process, RPO services can provide various key benefits to the business which hired their services. Some of these benefits include:

- **Helping companies manage hiring fluctuations throughout the year**. Many business organizations deal with annual fluctuations in the demand for temporary staff, leading to cycles of rapid upscaling and down scaling in temporary staff. The process of hiring the staff can be both time and cost-consuming, leading to these businesses hiring the services of third-party recruitment process outsourcing firms, which are specialists in rapidly upscaling and down scaling recruitment processes to cater to these fluctuating demands for workers throughout the year. This helps smoothen the recruitment curve and ensures that customers are always provided the best services throughout the year, irrespective of rapid increases in demand.

- **Reducing the total recruiting cost**. Due to their high degree of specialization in the area of staff recruitment, these third-party vendors can usually provide high-quality services for relatively cheaper prices. This ensures that a business is able to attract

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

top-notch talent without having to invest significant resources, both in terms of time and money. This allows these resources to be freed up for other internal processes within the business and for the drive of growth and profitability.

- **Reducing their dependency on staffing agencies**. Prior to the rapid increase in the popularity of outsourcing services such as our PO, staffing agencies have historically held their responsibility for providing workers to companies, especially when a large-scale increase in staff is required. However, the lack of expertise of these agencies in the areas of staff recruitment has led to various issues such as matching candidates with the wrong skill sets for particular jobs, not filling the required hiring quotas and promoting a cumbersome, and inefficient system that promotes waste. RPO services have largely replaced such outdated staffing agencies and have led to increased efficiency in the recruitment process in virtually all areas.

- **Improving hiring manager satisfaction**. Increased efficiency of services such as recruitment process outsourcing services has led to greater hiring manager satisfaction by ensuring that staff is now better matched to rules which are consistent with their particular skill sets. It also ensures that employees match to the business not only in terms of skills to abilities but also in terms of personal traits which resonate closely with the brand identity such as integrity, dedication, drive, creativity, and so on.

- **Reducing the average time taken to fill the required recruitment quotas**. Another issue commonly faced by businesses during the hiring process is the long amount of time that is required to fill these recruitment quotas. RPO services can greatly reduce the amount

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

of time this takes through the use of current hiring techniques.

- **RPO services can help elevate the employment brand**. RPO services can help improve brand image by streamlining hiring services and ensuring that the candidates have a positive experience throughout the hiring process.

Is RPO Right for Your Organization?

There are obvious benefits to recruitment process outsourcing which may be enjoyed by both large-scale, medium-scale, and even small-scale businesses. Recent trends show that there is increased popularity of RPO services among small-to-medium scale enterprises where departments like human resources also double as recruitment agencies for the business, leading to stretched resources, reduced efficiency, and even increased costs in the long run. However, there are certain specific situations where RPO services are particularly needed by a business organization. Some of these key situations include:

- **When you need to fill in a specific niche**. Recruitment process outsourcing is particularly helpful for recruiting potential candidates with certain skill sets which are in high demand by a business organization. This is because these agencies have up-to-date recruitment techniques which help them analyze potential candidates and identify their core talents and personality in order to determine whether they are the right fit for the business.

- **When a business is seeking to rapidly expand its existing services**. Another significant advantage the RPO services have over traditional hiring agencies is their ability to rapidly upscale their recruitment process in order to hire a large number of candidates over a relatively short period of time. This helps businesses

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

that are rapidly expanding and are in need of rapid recruitment of employees to be able to upscale quickly and recruit candidates in a cost-effective manner.

- **They help businesses that simply do not have the hiring capacity**. Certain business organizations simply do not have the hiring capacity or prerequisite knowledge to employ workers to fill in specific rules within the business. Therefore, RPO services are performing an essential function by offering such businesses the chance to utilize their expertise in order to fill in this significant knowledge gap.

- **They are great for short-term, high-volume recruitment**. In certain situations, a business organization does not require skilled workers; they simply require a large number of workers to perform a specific set of simple, low-skill tasks over a short time (for instance, Black Friday sales). Recruitment process outsourcing third parties have the necessary resources to support such a large-scale, rapid recruitment process.

How is RPO Different from Other Outsourced Recruiting Options?

Recruitment process outsourcing is not the only form of recruitment available to business organizations. However, over time, it has been found to be the most effective and efficient form of finding the best talents to fill in specific rules within the business organization. Therefore, let's examine some key features which set PRO services apart from other forms of recruitment outsourcing.

Analysis and planning

One of the key differences between recruitment process outsourcing and other forms of staffing is that RPO services integrate significant amounts of candidate analysis and

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

planning into their operations. This gives them a significant advantage when it comes to identifying the right candidates with the required set of skills that the business requires. This, therefore, means that they have a much higher success rate than other forms of staff recruitment.

Extensive job marketing
Recruitment process outsourcing services offer more significant candidate exposure than other forms of job recruitment. This can be achieved through the use of various advertising services, job boards, referrals, social media, and networking.

Sourcing and engaging talent
Recruitment process outsourcing services also have a higher degree of interaction with potential candidates than commonly seen in other forms of outsourcing. It also involves things like preemptive talent recognition, multiple sourcing assessments, and even the creation of talent communities and talent pipelines.

Candidate assessments
The degree of candidate assessment that is available through the use of RPO services is much more detailed than that of the scene or traditional forms of recruitment. This involves both candidates' sourcing, engagements, skill set analysis, as well as personality testing. This ensures that the candidate is an ideal match for the available job.

Candidate care
RPO services offer much more in-depth candidate care than other forms of recruitment outsourcing. This means that even after successfully matching a candidate with a potential job, they perform a brief period of follow-up which measures the candidate's experience within the position as well as both their job satisfaction and that of the hiring manager. This can be used as future reference data to determine the success

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

rate of their methods.

Three Basic Types of RPO Engagements

Let's take a closer look at the three basic types of RPO engagements that are commonly seen.

On-Demand RPO

In this system, the RPO is given a contract that specifies a particular number of rules to be filled in a particular time frame. They are then provided with the necessary resources required to perform this task.

Function-Based RPO

The function-based RPO has a significantly more expansive role than the on-demand RPO and may assume the role of recruitment for a particular division of the company.

Full RPO

In a full RPO, the third-party providers are in charge of the entire internal recruiting function within the business and have full control over the resources under this department.

How Much Does RPO Cost: Models and Comparisons

RPO services vary significantly and can be quite flexible in terms of the range of services they provide. Therefore, it is only natural that the payment methods employed by these services are flexible as well. Let's take a look at a few of the more commonly utilized cost models.

Management Fee Model (typically monthly)

The management fee model does not monetize the services of an RPO based on the number of candidates it recruits for the company which hired it. Rather, the RPO provider is paid a regular fee (typically monthly) for their continuous recruitment efforts. The contract, however, can be quite flexible and there could be significant room for change depending on the number of candidates successfully recruited as well as other important factors.

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

Cost Per Hire Model
The cost-per-hire model offers a much simpler alternative than the management fee model. In this situation, the RPO service is paid a fixed rate for every successful hire made by the company. This is usually carried out on a short-term basis.

Management Fee Plus Cost Per Hire
This is a combination of both the management fee and cost-per-hire models.

Cost Per Slate
The cost per slate model is somewhat similar to the cost per hire model. However, RPO companies are not paid based on the number of successful candidates hired by the business, but rather based on the number of potentially qualified candidates they provide business. Internal recruiters within the business structure are in charge of handling the assessments and eventual hiring process.

Cost Per Transaction
In the cost per-transaction model the RPO service providers are paid for performing specific functions such as conducting interviews, documentation, or creating a talent pool of potential candidates.

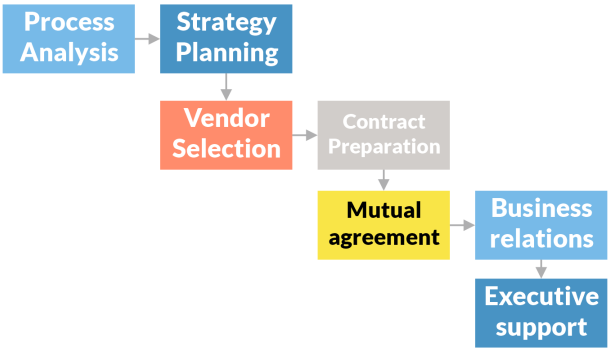
Human Resource Outsourcing (RHO)



This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

Human Resources outsourcing is a type of outsourcing whereby functions normally associated with the human resources department within a business organization like employee relations, hiring and recruitment, projects and performance management, payroll and compensation management, specialized consultancy services, as well as other administrative aspects are contracted out to third party vendors.

STEP TO OUTSOURCING



This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

CONCLUSION

In conclusion, outsourcing is definitely an advantageous business practice that allows organizations to capitalize on the expertise, manpower, and other comparative benefits offered by third-party vendors in order to promote growth, efficiency, and profitability. However, to successfully carry out an outsourcing project the business must ensure that it is working with the right vendors, that it maintains a strong communication link, and the progress throughout the process is adequately tracked.

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

REFERENCES

The following references were consulted to create this Super Guide:

- https://corporatefinanceinstitute.com/resources/knowledge/strategy/outsourcing/
- https://www.investopedia.com/terms/o/outsourcing.asp
- https://www.masterclass.com/articles/what-is-outsourcing
- https://www.masterclass.com/articles/what-is-outsourcing
- https://www.indeed.com/career-advice/career-development/outsourcing
- https://www.globaltrademag.com/how-outsourcing-strategies-are-changing-over-time/
- https://www.pcg-services.com/outsourcing-strategy-focus-best-practices/
- sourcing#6Mv1Un35dioeTmcC9tpkbC
- https://trimech.com/blog/6-most-commonly-outsourced-engineering-services
- https://www.masterclass.com/articles/what-is-outsourcing#6Mv1Un35dioeTmcC9tpkbC
- https://www.theengineeringdesign.com/twelve-key-reasons-why-you-should-outsource-your-engineering-services/
- https://www.masterclass.com/articles/what-is-outsourcing#6Mv1Un35dioeTmcC9tpkbC

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

- https://www.investopedia.com/terms/k/knowledge-process-outsourcing.asp
- https://helpjuice.com/blog/knowledge-process-outsourcing
- https://www.wrike.com/blog/what-is-knowledge-process-outsourcing-kpo/#Who-manages-knowledge-process-outsourcing
- https://www.wrike.com/blog/what-is-knowledge-process-outsourcing-kpo/#Who-manages-knowledge-process-outsourcing
- https://www.investopedia.com/terms/k/knowledge-process-outsourcing.asp
- https://helpjuice.com/blog/knowledge-process-outsourcing
- https://www.investopedia.com/terms/k/knowledge-process-outsourcing.asp
- https://www.masterclass.com/articles/what-is-outsourcing#6Mv1Un35dioeTmcC9tpkbC
- https://day.io/blog/legal-process-outsourcing-what-is-it/
- https://www.managedoutsource.com/blog/what-is-legal-process-outsourcing/
- https://day.io/blog/legal-process-outsourcing-what-is-it/
- https://blog.rpoassociation.org/blog/bid/266335/what-is-recruitment-process-outsourcing-rpo
- https://blog.rpoassociation.org/blog/bid/266335/what-is-recruitment-process-outsourcing-rpo
- https://www.adp.com/resources/articles-and-insights/articles/w/what-is-rpo-recruitment-process-outsourcing.aspx
- https://www.upwork.com/resources/recruitment-pr

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

ocess-outsourcing
- https://www.adp.com/resources/articles-and-insights/articles/w/what-is-rpo-recruitment-process-outsourcing.aspx
- https://www.masterclass.com/articles/what-is-outsourcing#6Mv1Un35dioeTmcC9tpkbC
- https://www.peoplehum.com/glossary/human-resource-outsourcing
- https://www.businessnewsdaily.com/15827-outsourcing-your-hr.html
- https://www.yourarticlelibrary.com/human-resource-management-2/hr-outsourcing/99683
- https://www.ionos.com/startupguide/grow-your-business/outsourcing/
- https://corporatefinanceinstitute.com/resources/knowledge/strategy/outsourcing/
- https://www.investopedia.com/terms/o/outsourcing.asp
- https://www.omi.co/blog4/about-strategic-outsourcing/
- https://www.timedoctor.com/blog/strategic-outsourcing/
- https://www.wallstreetmojo.com/outsourcing/
- https://www.forbes.com/sites/chuckcohn/2015/03/19/strategic-ways-to-outsource-and-when-to-do-it/?sh=5447235c2fcb
- https://myva360.com/blog/the-11-types-of-outsourcing-explained
- https://www.milestone.inc/blog/hr-outsourcing-strategies
- https://bxgi.com/insights/6-steps-for-building-a-successful-outsourcing-strategy

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

- https://www.indeed.com/career-advice/career-development/outsourcing-strategy
- https://www.intellectsoft.net/blog/best-it-outsourcing-strategies-pros-and-cons/
- https://truelist.co/blog/outsourcing-statistics/
- https://www.techtarget.com/searchcio/definition/business-process-outsourcing?amp=1
- https://www.manufacturing.net/home/article/13217456/a-brief-history-of-general-motors-corp

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

ABOUT THE AUTHOR

Daniel Pereira is a Brazilian-Canadian entrepreneur that has been designing and analyzing business models for over 15 years. You can read more about his journey as a Business Model Analyst **here**.



E-mail Daniel if you have any questions at: daniel@businessmodelanalyst.com
You can connect with Daniel at Linkedin: https://www.linkedin.com/in/dpereirabr/

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited



THE BUSINESS
MODEL ANALYST

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited